1.3. Banker's Bank

RBI is the banker of all banks. It keeps the reserves of banks like Cash Reserve Ratio (CRR) with it. It provides financial assistance to banks against mortgaged securities and rediscounts bills of exchange.

Usually, banks and other financial institutions borrow and lend among themselves when there is enough liquidity (money supply) in the market. RBI facilitates and regulates it. Suppose if there is liquidity crunch, the only avenue to borrow money is the RBI. As RBI provides enough money to banks, it is called the lender of the last resort. This happens very rarely in the economy of any country.

1.4. Custodian and manager of Foreign Exchange

RBI is responsible for keeping the foreign exchange (foreign currency) that flows into the country and keeps the foreign exchange rate stable to a certain extent.

1.5. Controller of Credit

RBI acts as controller of credit. Control of credit refers to control of lending and deposit creating capacity of the banks. These controls result in control of money supply. Control of money supply is essential to control inflation and thereby promote economic growth because both partly depend on money supply. This role is elaborated subsequently under the head 'Methods of Credit Control'

2. General Functions

General functions are aimed at general regulation of banking system to ensure a vibrant and prudent banking system. These functions are classified as Supervisory Functions and Promotional Functions.

2.1. Supervisory Functions